

capital. The discounted economic value of an income stream is greatest when the cashflows are stable and predictable. And, while both the professor and the banker might be expecting to earn the same \$100,000 per year, the variability or volatility of the banker's wages are much higher. Hence, the present discounted value is less. Hence, he buys less insurance.

In contrast to the two extremes, the mechanical engineer, whose human capital dynamics are not necessarily correlated with the stock market at all will be counseled to own more stocks compared to the investment banker, although not as much stock as the tenured professor. Likewise, the corporate bankruptcy specialist, whose fortunes and success are greater in times of corporate sector financial stress, is counseled within this model to take more equity exposure. They all at 45 years of age earn the same income, have the same financial assets on the balance sheet, and the same financial obligations at home, yet their portfolio looks completely different. Why? Some people are stocks, some people are bonds, and everyone else is a combination in between.

Now let me examine the impact of aging, ten years later, on this "stock or bond" thesis. Let's revisit the investment banker ten years later, at the age of 55. Abstracting from any personal circumstances and assuming he has managed to accumulate the same amount of financial capital as the tenured professor, his optimal equity exposure now drops from 60% of his retirement account at the age of 45, to 35% of the retirement account at the age of 55. The reason he should have even less equity exposure now is because he is aging, has less time until retirement, and simply can't afford the risk. The impact of time on shortfall risk, which I elaborated on in the previous chapter, also acts to reduce the optimal equity exposure. The tenured professor also reduces her equity exposure with age, but she still has 85% in the stock market.

The mechanical engineer and the bankruptcy lawyer are once again counseled to hold lower levels of risky equity compared to the professor, but greater amounts compared to the banker. The optimal amount of life insurance is also somewhere in between. Of course, this story abstracts from the rather obvious fact that an investment banker